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FREE GUIDE

The First-Time Buyer's Guide to Homeownership

From pre-approval to keys in hand, in plain English.

Serving Arizona, specializing in San Tan Valley & Florence.

A Message From Brian

If you're reading this, you're probably thinking about buying your first home. That's exciting, and it can also feel overwhelming. There's a lot of information out there, and some of it is confusing.

I put this guide together to give you a clear, honest picture of what the home buying process looks like from start to finish. My approach is simple: you choose the home, on your timeline, at a price that makes sense for your life. No pressure. Just guidance and protection.

Step 1: Get Your Finances in Order

Before you start browsing listings, the smartest move is understanding your financial picture. A conversation with a lender early on answers most of your questions.

Understanding Down Payments

The question I hear most from first-time buyers is how much they need for a down payment. The answer is often less than people expect, and it depends on the loan program:

- Conventional loans: as little as 3% down for qualified first-time buyers.
- FHA loans: as little as 3.5% down, with more flexible credit requirements. Popular with first-time buyers.
- VA loans: 0% down for eligible veterans and service members.
- USDA loans: 0% down for eligible buyers and properties in qualifying rural areas.

For example, 3.5% down on a $300,000 home is $10,500. These are general minimums. Eligibility, limits, and requirements depend on your credit, income, and the property and can change, so your lender is the right person to give you your real numbers.

Help With Down Payment and Closing Costs

Good news: there are options. Down payment and closing cost assistance programs exist, offered through a mix of state, local, and lender programs. Who qualifies, how much is available, and what the rules are change often, so I don't list specific programs here. A list printed today could be wrong next month.

What I can do is put you in touch with a lender who can walk through the options available right now and tell you which ones may fit your situation. Reach out and I'll make the introduction.

> **Brian's Tip:** Don't drain your entire savings for the down payment. You'll want reserves for closing costs, moving expenses, and the surprises that come with owning a home (like the AC breaking in July in Arizona).

Understanding Closing Costs

Closing costs are the fees and charges due when you officially become a homeowner. They're separate from your down payment, and many first-time buyers don't hear about them until late in the process. As a rough guide, they often run about 2% to 5% of the purchase price, depending on the loan, the property, and what is negotiated. Your lender will give you a written estimate early on. They generally include:

- Lender fees: origination, underwriting, credit report, and the appraisal.
- Title and escrow fees: title search, title insurance, and settlement charges.
- Prepaid items: homeowner's insurance, prorated property taxes, and prepaid interest.
- Recording fees: the county's charge to record the deed.
- HOA transfer fees: if the home is in an HOA community.

> **Brian's Tip:** Sometimes a seller agrees to cover part of a buyer's closing costs as part of the deal. That's called a seller concession. Whether it makes sense depends on the home and the market, and I'll help you think it through when the time comes.

Getting Pre-Approved

Pre-approval is one of the most important steps you can take before touring homes:

1. You'll know your real budget, based on what a lender has reviewed, not an online estimate.
2. Sellers take your offer seriously. An offer without pre-approval is often passed over.
3. You won't fall in love with a home that's out of range.
4. Any credit issues surface early, while there's time to address them.

You'll typically provide pay stubs, tax returns, bank statements, and ID. It's a straightforward process, and I can introduce you to local lenders who will walk you through it.

Step 2: The Home Search

This is the fun part. Once you're pre-approved, we'll set up a custom MLS search based on what you're looking for, so you get alerts when matching homes come on the market.

What to Think About Before You Search

- Location: commute, school options, shopping and dining, and the feel of the neighborhood.
- Home size: bedrooms, bathrooms, garage, and yard. What do you need now versus in three to five years?
- Must-haves versus nice-to-haves: single-story? Pool? Updated kitchen? Keep these separate from your wish list.
- HOA: many communities here have one. Dues and rules vary by community, so factor them into your monthly budget.
- New construction versus resale: new builds often come with builder incentives; resale homes may offer larger lots and mature landscaping.

Where I Help

San Tan Valley and Florence are my specialty, and that's where I live and know the streets best. I also help buyers and sellers throughout the greater Phoenix area and across Arizona, so wherever you're looking, reach out. Prices move with the market, so instead of printing a number that will be out of date next month, I'll send you what has actually closed in the areas you're considering over the last 90 days. For a monthly look at San

Tan Valley and Florence, download my free market report at thebutlerrealty.com/resources, and see my neighborhood guides at thebutlerrealty.com/neighborhoods.

Step 3: Making an Offer

When you find the right home, we'll put together a strong offer. Here's what goes into it:

- Offer price: based on comparable sales, market conditions, and the home's condition. I'll advise you on what's competitive without overpaying.
- Earnest money deposit: a good-faith deposit that shows the seller you're serious, commonly around 1% to 2% of the purchase price and negotiated with each offer. It's applied toward your costs at closing.
- Contingencies: inspection, appraisal, and financing contingencies protect you if something goes wrong. I'll explain each one and what it means to keep or give up protection.
- Closing timeline: often 30 to 45 days from accepted offer to closing, set by your contract.
- Seller concessions: we can ask the seller to help with some of your closing costs.

Step 4: Under Contract, What Happens Next

Once your offer is accepted, the clock starts. Your contract sets the exact deadlines; this is a typical flow:

Typical Timing	Milestone	What Happens
Right away	Earnest money	Your deposit is delivered to the title company.
First couple of weeks	Home inspection	A professional inspector examines the home. This is your chance to renegotiate or walk away if major problems turn up.
First couple of weeks	Appraisal ordered	Your lender orders an appraisal to confirm the home's value.
Weeks 2 to 4	Loan processing	Your lender processes your loan. Respond quickly when they ask for documents.
Near the end	Clear to close	Your lender issues final approval. You review your closing disclosure.
Closing day	Sign and get keys	You sign the paperwork, funds are recorded, and you officially become a homeowner.

> **Brian's Tip:** During this period, don't make big financial changes. Don't open new credit cards, make large purchases, change jobs, or move money around without talking to your lender first. Any of these can delay or derail your loan.

Step 5: Closing Day

1. Final walkthrough: we visit the home one last time, usually shortly before closing, to confirm it's in the condition you agreed to.
2. Signing: you meet at the title company to sign your loan documents and closing paperwork. Bring a valid photo ID and any funds due, as your title company instructs.
3. Funding: once everything is signed and your lender funds the loan, the title company records the deed with the county.
4. Keys: you get your keys. Congratulations, you're a homeowner.

The signing appointment usually takes about an hour, and I'll be there with you.

Common Mistakes to Avoid

1. Skipping pre-approval and shopping above your budget.
2. Making big financial changes during the loan process.
3. Waiving the home inspection to win a competitive offer. It is rarely worth the risk.
4. Falling for a home before doing the math on total monthly costs: mortgage, taxes, insurance, and HOA.
5. Not planning for maintenance. A common rule of thumb is to set aside 1 to 2 percent of the home's value each year.
6. Going it alone. A buyer's agent works for you, and I'll walk you through how my compensation works in our first conversation, before you sign anything.

Ready to Get Started?

Whether you're six months out or ready to start looking this weekend, I'm here whenever you are. No pressure and no pitch, just a conversation about your goals. Down payment assistance options change often, so ask me and I'll connect you with a lender who can go over what's available.

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